

Sun Pharmaceuticals Industries Ltd

SUNPHARMA

15.1%

ROE

20.7%

ROCE

0.1x

D/E

26.8%

OPM

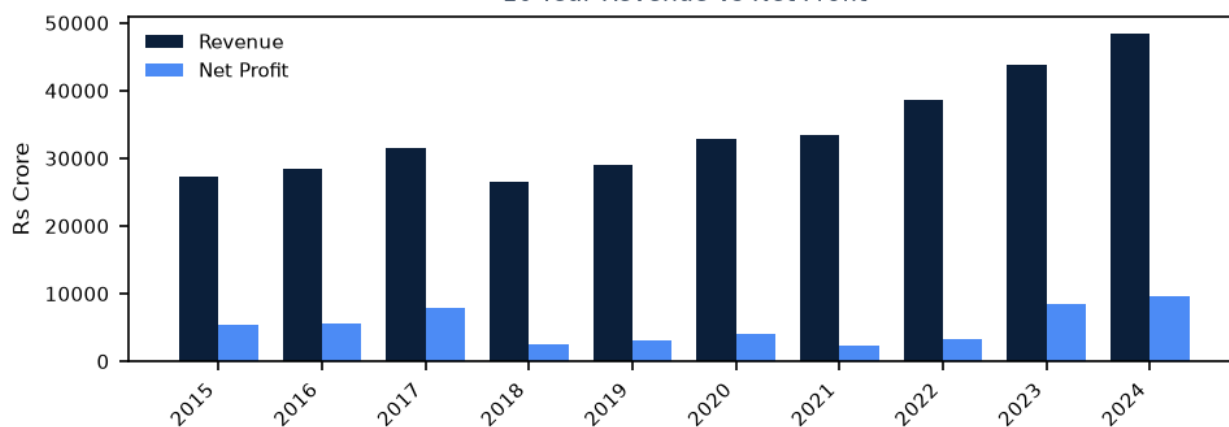
10.8%

Revenue CAGR 5yr

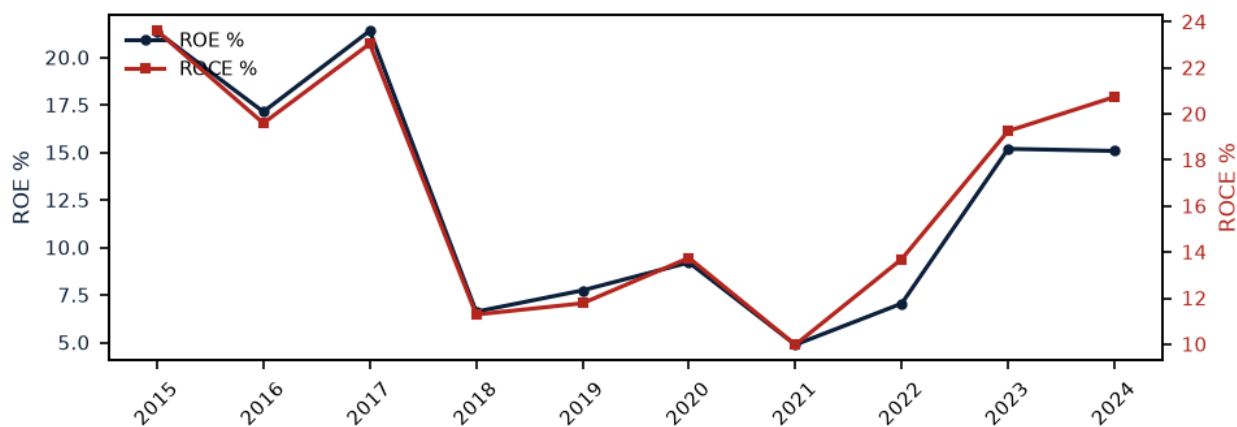
24.5%

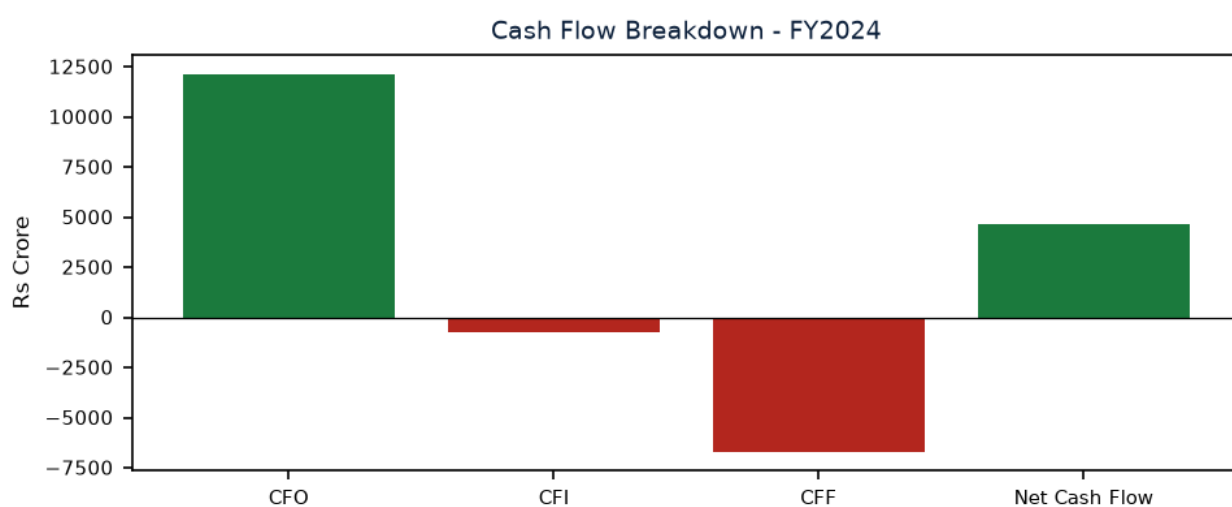
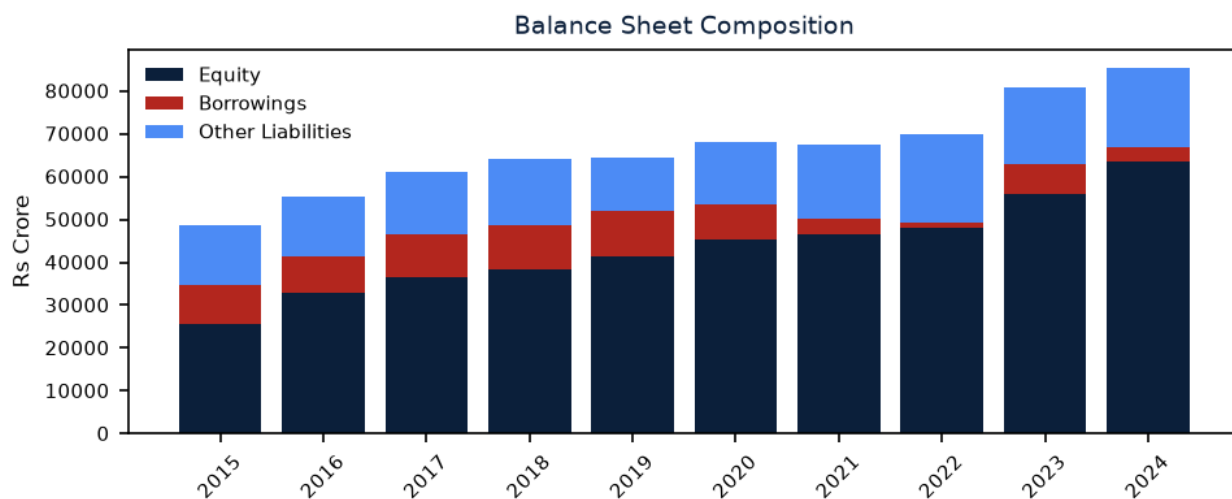
PAT CAGR 5yr

10-Year Revenue vs Net Profit



ROE vs ROCE Trend





Pros

- + Very high interest coverage ratio reflects negligible financial stress from debt servicing
- + Revenue growing slower than profits shows improving operating leverage and scale benefits
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Growing asset base funded by internal accruals reflects self-sustaining growth
- + Consistent dividend yield above 2% backed by positive free cash flow
- + Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern

Reinvestor